PRODUCT TEARDOWN

Rapido: Won the Captains. Next, Win the Riders.

How a driver-first subscription model beat Uber and Ola, and what it costs on the rider side.

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TL;DR

Rapido beat Uber and Ola by being the better deal for drivers, not for riders. Its next fight is on the rider side: trust and reliability.

5M+
rides a day (company figure)

-23.5%
ride-commission revenue in FY25 as captains moved to subscriptions

₹934 cr
operating revenue in FY25, up 44%

- **Drivers were the moat.** With zero-commission subscriptions, auto and cab captains keep the full fare. That pulled drivers away from rivals.
- **The business model has already changed.** Delivery and captain subscriptions now bring in more than ride commissions.
- **Rivals copied it.** Uber and Ola launched their own subscription plans in 2025, so the advantage on drivers is shrinking.

My bet: Rapido now has to win on reliability. Fewer cancellations, fair fares and visible safety will keep riders as the driver deal becomes standard everywhere.

Context

Rapido started in Bengaluru in 2015 as a bike-taxi app. It now offers bikes, autos, cabs, parcels, food delivery (Ownly) and travel booking in 400+ cities.

Metric	Value	Period
Net loss	Rs 258 crore (down 30.5%)	FY25
Delivery revenue	Rs 340 crore (+28.3%)	FY25
Ride commission revenue	Rs 277 crore (down 23.5%)	FY25
Captain subscription revenue	Rs 275 crore	FY25
Payments and incentives to captains	Rs 500 crore (~40% of costs)	FY25
Market share (company estimate)	~70% bike taxi, ~40% autos, ~22% cabs	Company-stated

How it makes money. Bike rides still pay a commission on each ride. Auto and cab captains pay a small daily or monthly subscription instead and keep the whole fare. On top sit delivery, sponsored listings, Ownly and travel bookings.

Recent changes. Ownly, Rapido's zero-commission food delivery, moved into the main app in Bengaluru. Rapido raised $240 million at a $3 billion valuation and plans an IPO. The Karnataka High Court lifted the state's bike-taxi ban, but the state has appealed to the Supreme Court.

Users and jobs-to-be-done

Segment	Job they hire Rapido for	How often	What Rapido earns
Daily commuter	"Get me to the metro or office cheaply, through traffic"	Daily	Bike-taxi commission
Budget rider	"An auto or cab that costs less than Uber"	Weekly	Captain subscriptions
Captain (driver)	"Earn more per day, with no cut taken from each ride"	Daily	Daily or monthly subscription fee
Sender or small business	"Move a parcel across the city within the hour"	Weekly	Delivery fees
Restaurant (Ownly)	"Sell online without losing 20%+ to commissions"	Daily	Flat restaurant subscription

The insight: Rapido already has a daily habit, the commute. The weak point isn't how often people use it, but whether they trust it when the trip matters.

Journey teardown

Step	What the rider sees	What it's designed to do	My read
1. Open and choose	Bike, auto and cab side by side, with prices up front	Make the cheapest option the obvious one	Strong. The bike price next to the cab price sells itself
2. Match	A captain accepts within seconds in most cities	Turn a large pool of drivers into speed	Strong on bikes and autos, weaker on cabs at peak hours
3. Pickup	Live tracking, captain details, an OTP to start the ride	Build trust before the ride	Mixed. Cancellations after acceptance and requests for extra cash are common complaints
4. Ride and pay	Trip sharing, SOS, UPI or cash	Feel safe; easy payment	Safety features exist, but riders hear about them in the news more than in the app
5. Rate and return	Rating screen, in-app support	Close the loop	Weak. Poor support is one of the most reported complaints

With subscriptions, Rapido no longer earns more when a ride goes well, and it has fewer ways to reward good captains.
Add 3–4 annotated screenshots of your own app here before publishing.

What works

1. **A better driver deal.** Captains keep the whole fare for a small daily fee. Drivers often run several apps at once, so the one that pays best gets the most drivers.
2. **Bike taxis as the entry point.** They are the cheapest way through Indian traffic, which earns a daily habit that cab-first rivals never built.
3. **A light cost structure.** Subscription revenue doesn't depend on discounting each ride. Rapido cut its losses while Uber India's ride-hailing losses rose sharply.
4. **One fleet, many jobs.** The same riders carry people, parcels and now food, filling time when captains would otherwise be idle.
5. **Reach in smaller cities.** Low prices work well in tier-2 cities, where Uber and Ola have little presence.

What doesn't

1. **Less control over quality.** When captains keep the whole fare, Rapido has less to reward or withhold.
2. **Cancellations and fare disputes.** Captains cancel or ask for extra cash after accepting a ride, and riders blame the app.
3. **Support can't keep up.** Complaints about fares, driver checks and support are documented in the press.
4. **Regulatory risk.** Bike taxis still lack clear rules in several states, and Karnataka is appealing in the Supreme Court.
5. **Too many services.** Food, travel and parcels compete for space in an app whose job is "get me there now".

Competitive landscape

Player	Plays for	Edge over Rapido	Rapido's edge
Uber	Premium cabs, global brand	Trust, cab quality, airport and corporate trips	Bikes and autos, price, a lead with drivers
Ola	Cabs and autos	Older brand recognition	Momentum; Ola's share is falling
Namma Yatri and other local apps	Driver-owned, city-specific	Driver goodwill, local trust	Scale across 400+ cities, more ride types
Swiggy, Zomato	Food delivery	Restaurant choice, speed, loyalty programmes	Zero commission for restaurants, cheaper everyday meals

Recommendations

The goal is to become the app riders trust for trips that matter, not just the cheapest one. North-star metric: **completed rides per rider who requested one**.

#	Bet	Success metric	Guardrail
1	**Subscription tiers based on reliability.** Captains with low cancellation rates and high ratings pay a lower daily fee and get priority for bookings	Cancellations after acceptance; rider repeat rate at 30 days	Captain churn and subscription renewals

2	**A clear fare promise.** Lock the fare shown, add a one-tap "asked for extra money" report, and refund automatically once a report is confirmed	Fare-related support tickets per 1,000 rides; app rating	False reports; captain earnings
3	**An option for trips that matter.** Riders can pay a little more for a high-rated captain and a guaranteed backup if the ride is cancelled	Share of airport and scheduled rides; how many riders choose the option	Wait times for standard rides

Start with Bet 1. It fixes the cause: right now captains have no reason to behave well. Bets 2 and 3 work much better once reliable captains are easy to identify.

Sources

- Rapido hits Rs 1,000 crore revenue milestone in FY25, Angel One
- How Rapido's super app model is taking shape, Inc42
- Uber India's ride-hailing losses soar 4X in FY25, Entrackr
- Rapido's Ownly goes live within the main app, Business Today
- Karnataka tells Supreme Court bike taxis pose safety risks, Bar and Bench